



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Victor (Jack) & Daphne Harrison
Of

2030 Main Neerim Road
Neerim South VIC 3831
Phone: (03) 9706-0122

Prepared on:

26th June 2015

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

Lakeside Financial
Level 1, 99 Bay Street
Brighton VIC 3186

Ph: 03 9596 5111 Fax: 03 9596 3222
Email: andrew.lord@lakesidefinancial.com.au

Authorised Representative # 324798

Pareto Group Pty Ltd

ABN 11 155 278 078 Australian Financial Services Licensee No. 418700
1/99 Bay Street, Brighton, Vic, 3186
Ph: 03 9596 5111 Fax: 03 9596 3222

What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

26/06/2015

Victor (Jack) & Daphne Harrison
2030 Main Neerim Road
Neerim South VIC 3831

Dear Jack and Daphne,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

Table of Contents

STATEMENT OF ADVICE.....	1
Financial Planning Strategy	1
Purpose of this document.....	4
Timeframe for our advice	4
Check for accuracy	4
Limitations of our advice	4
Product selection	5
Introduction	6
The Scope of Our Advice	6
Our Investment Recommendations.....	7
Your Adviser	7
The Planning Process	7
Executive Summary	8
Your Goals and Objectives	8
Personal Information.....	8
Personal Details	8
Estate Planning.....	8
Current Assets and Liabilities.....	9
Planning - Recommendations	10
Superannuation – Pension Phase and Retirement Income Streams.....	16
Your Superannuation Funds	17
Reversionary Pensions	17
Capital Gain Tax Implications.....	18
What is paid to your adviser	19
Disclosure Statement	20
Summary	22
Appendix A – Age Pension and Total Income Calculations.....	24
Appendix B – Assumptions.....	31

Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Retirement Income Planning
- Superannuation
- Centrelink Strategies
- Structure of Assets
- Estate Planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Jack & Daphne, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Maximise your entitlement for the Age Pension
- Generate an income of at least \$700 per week in retirement
- Ensure your assets are structured in a manner that maximises the Centrelink Benefits available to you.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Victor (Jack)	Daphne
Surname	Harrison	Harrison
Gender	M	F
Date of Birth	13/07/1946	3/07/1950
Age Last Birthday	68	64

Estate Planning

	Jack	Daphne
Do you have a Current Will?	No	No
Do you have Current Powers of Attorney?	No	No
Do you have a Testamentary Trust?	No	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Principal Residence	\$360,000
Total Lifestyle Assets	\$360,000

Investment Assets	
Investment Property – Burnie	\$170,000
Investment Property – Drouin	\$260,000
Direct Shares	\$4,000
Total Investment Assets	\$434,000

Superannuation Assets	
Colonial First State – Jack	\$18,000
Colonial First State - Daphne	\$18,000
Total Superannuation Assets	\$36,000

Total ASSETS	\$830,000
---------------------	------------------

LIABILITIES

Loans against investment properties	\$200,000
Total Liabilities	\$0

NET WORTH	\$630,000
------------------	------------------

Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Planning - Recommendations

Government Age Pension

The Government Age Pension provides income support, as well as access to a range of concessions to older Australians. The eligible age is currently 65, although it will increase to age 67 by 2023, and to age 70 by 2035.

The Age Pension is subject to two means tests, an assets test and an income test. The pension amount is determined by whichever test gives the lowest end payment benefit.

The asset and income means tests are applied to each individual or couple, with the Age Pension payment rate reducing if the individual or couple hold assets, or earn income, over the outlined minimum thresholds. These thresholds are outlined below:

Income test

Single		
Fortnightly Income	Up to \$160	Over \$160
Reduction in payment	None – full payment rate	50 cents for each dollar over \$160
Couples		
Fortnightly Income	Up to \$284	Over \$284
Reduction in payment	None – full payment	50 cents for each dollar over \$284 (combined)

Asset test

Family Situation	For Homeowners	For Non-Homeowners
Single	\$202,000	\$348,500
Couple (combined)	\$286,500	\$433,000
Reduction in payment	\$1.50 for every \$1,000 over the above amounts	\$1.50 for every \$1,000 over the above amounts

Age Pension Payment Rates

The current maximum fortnightly payment rate for the Age Pension, including the pension supplement, is outlined in the table below:

Pension rates per fortnight	Family Situation			
	Single	Couple each	Couple combined	Couple each separated due to ill health
Maximum basic rate	\$782.20	\$589.60	\$1,179.20	\$782.20
Maximum Pension Supplement	\$63.90	\$48.20	\$96.40	\$63.90
Energy Supplement	\$14.10	\$10.60	\$21.20	\$14.10
TOTAL	\$860.20	\$648.40	\$1,296.80	\$860.20

As stated, the maximum rate may be reduced due to the thresholds outlined via the relevant means test.

Deeming

The deeming rules assume your financial assets are earning a certain amount of income, regardless of the income they actually earn. Deeming encourages you to earn more income from your investments and reduces the extent that your payments may vary.

Deeming is used to calculate income for pension, benefit and allowance payments.

From 20 March 2015:

- if you are single and receiving an income support payment, the first \$48,000 of your financial investments is deemed to earn income at 1.75% per annum and any amount over that is deemed to earn income at 3.25% per annum
- **if you are a member of a couple and at least one of you receives a pension, the first \$79,600 of you and your partner's financial investments is deemed to earn income at 1.75% per annum and any amount over that is deemed to earn income at 3.25% per annum, or**
- if you are a member of a couple and neither of you is receiving a pension, the first \$39,800 for each of your and your partner's share of jointly owned financial investments is deemed to earn income at 1.75% per annum and any amount over that is deemed to earn income at 3.25% per annum

If the actual income you receive from your investments is more than the deemed income calculated, the extra income is not counted when your income support payment is assessed.

Your Age Pension Entitlement

Jack, as Daphne turns 65 on July 3rd 2015, you will then be eligible to apply for a combined Age Pension.

We have taken the liberty of calculating your approximate entitlement to the Age Pension (from the time Daphne turns 65) based on your current circumstances, as well as providing various scenarios with the view of maximising your Age Pension entitlement. The calculations are outlined on the following pages:

AGE PENSION ENTITLEMENT ONCE DAPHNE TURNS 65 BASED ON YOUR CURRENT POSITION

Age Pension Assets Test

ASSESSABLE ASSETS	Value
Drouin Property	\$260,000
Burnie Property	\$170,000
Less: Debt	(\$200,000)
Superannuation – Jack	\$18,000
Superannuation - Daphne	\$18,000
Direct Shares	\$4,000
Motor Vehicle	\$10,000
Home Contents (garage sale value)	\$5,000
TOTAL ASSESSABLE ASSETS	\$285,000

As this falls under the assets test limit for the maximum Age Pension (\$286,500), the maximum Age Pension is payable.

Therefore, **Age pension payable** = **\$33,716.80 per annum**
= **\$ 1,296.80 per fortnight**
= **\$ 648.40 per week**

Age Pension Income Test

ASSESSABLE INCOME	Income
Drouin Rent	\$13,384
Burnie Rent	\$11,440
Wages - Jack	\$23,461
Wages - Daphne	\$10,005
Directors' Fees - Daphne	\$11,578
Direct Shares (\$4k @ 1.75%)	\$70
Superannuation (\$36k @ 1.75%)	\$630
TOTAL INCOME	\$70,568
Less Work Bonus (combined)	(\$13,000)
TOTAL ASSESSABLE INCOME	\$57,568

Total assessable income = $\$57,568/26 = \$2,214.15$ pf

The income test threshold in order to receive the full Age Pension is \$284 per fortnight

Therefore, $\$2,214.15 - \$284 = \$1,930.15 \times 0.5 = \965.07 reduction per fortnight

Therefore, **Age Pension payable** = $\$1,296.80 - \965.07
= **\$8,624.98 per annum**
= **\$ 331.73 per fortnight**
= **\$ 165.86 per week**

Conclusion:

- Jack and Daphne, under the Government Age Pension rules, you will be assessed on the means test that will pay you the lowest rate per fortnight, which in your situation is the Income test.
- **The amount you would receive under your current situation would be approximately \$8,624.98 per annum (\$331.73 per fortnight).**

STRATEGIES TO MAXIMISE YOUR COMBINED AGE PENSION ENTITLEMENT

We have assessed 4 different scenarios to establish the impact on your Age Pension entitlements and overall income position. These scenarios are as follows:

Scenario 1

- Continue working
- Sell the Drouin property and extinguish all debt

Scenario 2

- Stop working (retire)
- Sell the business equipment (estimated value of \$40,000) and contribute the proceeds to superannuation
- Sell the Drouin property and extinguish all debt

Scenario 3

- Stop working (retire)
- Sell the business equipment (estimated value of \$40,000) and contribute the proceeds to superannuation
- Keep both properties (Drouin and Burnie)
- Assume no rent from the Drouin property in the short to medium term

Scenario 4

- Stop working (retire)
- Sell the business equipment (estimated value of \$40,000) and contribute the proceeds to superannuation
- Sell both properties (Drouin and Burnie) and extinguish all debt

Under each of these scenarios, the estimated combined Age Pension entitlement is:

Scenario	Age Pension Entitlement			Estimated Overall Income (pa)		Ongoing Debt to Service
	Per Annum	Per Fortnight	Per Week	Per Annum	Per Week	
Current Position	\$8,625	\$332	\$166	\$65,109	\$1,252	\$200,000
Scenario 1	\$14,639	\$563	\$281	\$71,123	\$1,368	\$0
Scenario 2	\$30,011	\$1,154	\$577	\$41,451	\$797	\$0
Scenario 3	\$31,116	\$1,192	\$598	\$42,556	\$818	\$200,000
Scenario 4	\$32,215	\$1,239	\$619	\$37,215	\$715	\$0

NB: Detailed calculations used to derive the figures in the above table are contained in Appendix A

Assumptions:

- Business income figures have been taken from the 2013/14 tax returns
- Rental income figures for the Burnie property have been taken from the 2013/14 tax returns
- Assume no rental income from the Drouin property
- Surplus funds from property sales and business equipment sales are contributed to superannuation
- 'Current Position' includes rental income from the Drouin property as per the 2013/14 tax returns
- The overall income in Scenario 4 includes \$5,000 p.a. drawn down from superannuation to achieve a required income of \$700 p.w.

Conclusion

- Jack, in light of your desire to discontinue working, **Scenario 2** is considered the most desirable course of action in the short to medium term.
- It is anticipated that this scenario should provide you with the highest annual income with no ongoing debt to service.

POTENTIAL STRATEGY

Should you wish to purchase / maintain an investment property as part of your overall asset portfolio, it may be worth considering a property that is part of the National Rental Affordability Scheme (NRAS).

An investment in an NRAS property provides a rent subsidy (in the order of \$10,000 p.a.) paid by the Commonwealth and State Government that may be exempt from the income test for Age Pension calculation purposes.

Pensioner Concession Card

- You are eligible for a Pensioner Concession Card if you receive an Age Pension.

Benefits of a Pensioner Concession Card

A Pensioner Concession Card entitles you to reduced cost medicines under the Pharmaceutical Benefits Scheme.

You may also be entitled to various concessions from the Australian Government. These could include:

- bulk billing for doctor's appointments - this is your doctor's decision
- more refunds for medical expenses through the Medicare Safety Net
- assistance with hearing services through the Department of Health Office of Hearing Services website, and
- discounted mail redirection through Australia Post

You may also be entitled to various concessions from state and territory governments and local councils such as:

- reductions on property and water rates
- reductions on energy bills
- reduced fares on public transport
- reductions on motor vehicle registration, and
- free rail journeys

Commonwealth Seniors Health Card

- A person qualifies for this if they have reached Age Pension age (65), do not qualify for the Age Pension and meet an income test.
- Essentially, if you weren't eligible for an Age Pension (which we believe you are) then you may be eligible for the Commonwealth Seniors Health Card if your annual income is below \$82,400 p.a. combined.

Benefits of a Commonwealth Seniors Health Card

The Commonwealth Seniors Health Card provides discounts on Pharmaceutical Benefits Scheme (PBS) prescription medicines.

You may also get a discount or concession on:

- bulk billed doctor appointments, at the discretion of the doctor
- cheaper out of hospital medical expenses through the Medicare Safety Net
- concessional rail travel on Great Southern Rail services, such as The Indian Pacific, The Ghan, and The Overland, and
- in some instances, extra health, household, transport, education, and recreation concessions that are offered by state or territory and local governments and private businesses - these providers offer concessions at their own discretion, and the availability of these concessions may vary between states and territories

The ‘Work Test’

In order to make personal non-concessional contributions to superannuation, the work test must be met post 65 years of age. The work test is met if you are gainfully employed for at least 40 hours in a period of not more than 30 consecutive days in the financial year.

Gainfully employed is employed or self-employed for gain or reward in any business, trade, profession, vocation, calling, occupation or employment.

The concept of ‘gain or reward’ envisages receipt of remuneration such as salary or wages, business income, bonuses, commissions, fees or gratuities, in return for personal exertion.

Surplus Funds

Jack and Daphne, based on some of the scenarios detailed, you may have surplus funds available from property sales and/or the sale of business equipment.

Recommendation:

- In light of the fact that superannuation is a ‘tax-free’ environment to hold investment assets (when in pension phase), we recommend that you consider making using any surplus funds to make Personal Non-Concessional contributions to superannuation.

Benefit:

- A tax free superannuation income stream can be used to supplement your Centrelink benefits.

Superannuation – Pension Phase and Retirement Income Streams

Jack and Daphne, you wish to find the most effective structure to utilise any proceeds from the sale of your property and/or the sale of your business equipment, and to supplement your Age Pension income ensuring that you meet your required lifestyle expenses.

Recommendations:

- Establish an allocated pension utilising the proceeds from your existing superannuation fund and the non-concessional contributions previously detailed.
- As you are aged over 60 and your fund is in pension phase, any income that you draw is tax free, as are any earnings within the fund.

Benefits:

- Once you commence an income stream, the earnings on your superannuation funds used in the purchase price of the pension become tax free. This remains the case for the life of the pension.

- Your capital will be invested within a concessional tax environment that will keep your asset base ahead of inflation. This structure is much more beneficial as interest from bank deposits is taxable income and your capital is eroded by inflation.
- The commencement of your Allocated Pension will mean that all future income earned on your superannuation capital will be tax free.
- You will receive a tax free income stream on an annual basis.

Your Superannuation Funds

Jack and Daphne, whilst we have not yet been able to obtain specific balances of your respective Colonial First State Personal Superannuation Funds, we have used an estimated figure of \$18,000 each for the purposes of this Statement of Advice. This is considered a reasonable estimate based on the most recent statements you have provided.

You have not been receiving proactive advice with respect to these funds. As such, we recommend that you appoint Lakeside Financial as the servicing adviser in order for us to provide specific recommendations moving forward, particularly in terms of how the underlying funds are structured.

Reversionary Pensions

Recommendations:

- When you commence your retirement income stream (pension) you should make it **reversionary**.

Benefits:

- A reversionary pension enables your tax dependant beneficiary to receive your pension account balance remaining within the superannuation environment. All moneys received by the reversionary beneficiary remain in pension phase and therefore all income earned by the fund or capital gains realised by the fund to pay the benefit pension will not be subject to tax.
- If either the deceased or the recipient of the reversionary pension is over the age of 60, the income stream will not be assessable for income tax purposes.

Risks:

- Death benefits in the form of a pension may only be paid to a "Tax Dependant".
- If the income stream is commuted (either rolled into an accumulation fund or lump sums are withdrawn) within six months after the death of the deceased or 3 months after the grant of probate of that deceased person's will or letters of administration of that deceased person's estate, then it is treated as a death benefit payment. Therefore the moneys would be treated as a lump sum benefit outside of the superannuation environment.

Capital Gain Tax Implications

Jack and Daphne, based on the information you have provided us, we estimate that the following Capital Gains may be realised should you sell either of your investment properties:

Drouin Property

Purchase Price	\$247,000
Estimated Sale Price	<u>\$260,000</u>
Capital Gain	\$ 13,000

Assessable Gain ($\$13,000 \times 50\%$) = \$6,500

As the property is jointly owned, \$3,250 would be added to each of Jack's and Daphne's assessable income in the year of sale.

Assuming you have ceased working and hence, do not generate income from the business, then there is not anticipated to be any tax payable on the assessable gain.

Burnie Property

Purchase Price	\$100,000
Estimated Sale Price	<u>\$170,000</u>
Capital Gain	\$ 70,000

Assessable Gain ($\$70,000 \times 50\%$) = \$35,000

As the property is jointly owned, \$17,500 would be added to each of Jack's and Daphne's assessable income in the year of sale.

Assuming you have ceased working and hence, do not generate income from the business, then the estimated tax payable on the assessable gain is approximately \$6,000.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$2,750 (inclusive of GST), which will be deducted from your superannuation fund.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

I am not a registered tax (financial) adviser under the Tax Agents Services Act. You should seek advice from a registered tax (financial) adviser or a registered tax agent before relying on my advice.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Summary

Your Statement of Advice

In preparing this Statement of Advice we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Retain a copy for your records

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Age Pension and Total Income Calculations

CURRENT POSITION

Age Pension Assets Test

ASSESSABLE ASSETS	Value
Drouin Property	\$260,000
Burnie Property	\$170,000
Less: Debt	(\$200,000)
Superannuation – Jack	\$18,000
Superannuation - Daphne	\$18,000
Direct Shares	\$4,000
Motor Vehicle	\$10,000
Home Contents (garage sale value)	\$5,000
TOTAL ASSESSABLE ASSETS	\$285,000

As this falls under the assets test limit for the maximum Age Pension (\$286,500), the maximum Age Pension is payable.

Therefore, **Age pension payable** = **\$33,716.80 per annum**
= **\$ 1,296.80 per fortnight**
= **\$ 648.40 per week**

Age Pension Income Test

ASSESSABLE INCOME	Income
Drouin Rent	\$13,384
Burnie Rent	\$11,440
Wages - Jack	\$23,461
Wages - Daphne	\$10,005
Directors' Fees - Daphne	\$11,578
Direct Shares (\$4k @ 1.75%)	\$70
Superannuation (\$36k @ 1.75%)	\$630
TOTAL INCOME	\$70,568
Less Work Bonus (combined)	(\$13,000)
TOTAL ASSESSABLE INCOME	\$57,568

Total assessable income = $\$57,568 / 26 = \$2,214.15$ pf

The income test threshold in order to receive the full Age Pension is \$284 per fortnight

Therefore, $\$2,214.15 - \$284 = \$1,930.15 \times 0.5 = \965.07 reduction per fortnight

Therefore, **Age Pension payable** = $\$1,296.80 - \965.07
= **\$8,624.98 per annum**
= **\$ 331.73 per fortnight**
= **\$ 165.86 per week**

Conclusion:

- Jack and Daphne, due to the Government Age Pension rules, you will be assessed on the means test that will pay you the lowest rate per fortnight, which in your situation is the Income test.
- **The amount you would receive under your current situation would be approximately \$8,624.98 per annum (\$331.73 per fortnight).**

SCENARIO 1

Age Pension Assets Test

ASSESSABLE ASSETS	Value
Burnie Property	\$170,000
Superannuation – Jack	\$78,000
Superannuation - Daphne	\$18,000
Direct Shares	\$4,000
Motor Vehicle	\$10,000
Home Contents (garage sale value)	\$5,000
TOTAL ASSESSABLE ASSETS	\$285,000

As this falls under the assets test limit for the maximum Age Pension (\$286,500), the maximum Age Pension is payable.

Therefore, **Age pension payable** = \$33,716.80 per annum
= \$ 1,296.80 per fortnight
= \$ 648.40 per week

Age Pension Income Test

ASSESSABLE INCOME	Income
Burnie Rent	\$11,440
Wages - Jack	\$23,461
Wages - Daphne	\$10,005
Directors' Fees - Daphne	\$11,578
Direct Shares (\$4k @ 1.75%)	\$70
Superannuation (\$75,600 @ 1.75%)	\$1,323
Superannuation (\$20,400 @ 3.25%)	\$663
TOTAL INCOME	\$58,540
Less Work Bonus (combined)	(\$13,000)
TOTAL ASSESSABLE INCOME	\$45,540

Total assessable income = $\$45,540 / 26 = \$1,751.54$ pf

The income test threshold in order to receive the full Age Pension is \$284 per fortnight

Therefore, $\$1,751.54 - \$284 = \$1,467.54 \times 0.5 = \733.77 reduction per fortnight

Therefore, **Age Pension payable** = \$1,296.80 - \$733.77
= \$14,638.78 per annum
= \$ 563.03 per fortnight
= \$ 281.51 per week

Conclusion:

- Jack and Daphne, due to the Government Age Pension rules, you will be assessed on the means test that will pay you the lowest rate per fortnight, which in your situation is the Income test.
- **The amount you would receive under your current situation would be approximately \$14,638.78 per annum (\$281.51 per fortnight).**

SCENARIO 2

Age Pension Assets Test

ASSESSABLE ASSETS	Value
Burnie Property	\$170,000
Superannuation – Jack	\$118,000
Superannuation - Daphne	\$18,000
Direct Shares	\$4,000
Motor Vehicle	\$10,000
Home Contents (garage sale value)	\$5,000
TOTAL ASSESSABLE ASSETS	\$325,000

Age pension reduces by $(\$325,000 - \$286,500) = \$38,500$

Therefore, $\$38,500 / \$1000 \times \$1.50 = \57.75 p.f. reduction per fortnight

As this falls under the assets test limit for the maximum Age Pension (\$286,500), the maximum Age Pension is payable.

Therefore, **Age pension payable**

- = \$1,296.80 - \$57.75
- = **\$32,215.30 per annum**
- = **\$ 1,239.05 per fortnight**
- = **\$ 619.52 per week**

Age Pension Income Test

ASSESSABLE INCOME	Income
Burnie Rent	\$11,440
Direct Shares (\$4k @ 1.75%)	\$70
Superannuation (\$75,600 @ 1.75%)	\$1,323
Superannuation (\$60,400 @ 3.25%)	\$1,963
TOTAL ASSESSABLE INCOME	\$14,796

Total assessable income = $\$14,796 / 26 = \569.07 pf

The income test threshold in order to receive the full Age Pension is \$284 per fortnight

Therefore, $\$569.07 - \$284 = \$285.07 \times 0.5 = \142.54 reduction per fortnight

Therefore, **Age Pension payable**

- = \$1,296.80 - \$142.54
- = **\$30,010.76 per annum**
- = **\$ 1,154.26 per fortnight**
- = **\$ 577.13 per week**

Conclusion:

- Jack and Daphne, due to the Government Age Pension rules, you will be assessed on the means test that will pay you the lowest rate per fortnight, which in your situation is the Income test.
- **The amount you would receive under your current situation would be approximately \$30,010.76 per annum (\$1,154.26 per fortnight).**

SCENARIO 3

Age Pension Assets Test

ASSESSABLE ASSETS	Value
Drouin Property	\$260,000
Burnie Property	\$170,000
Less: Debt	(\$200,000)
Superannuation – Jack	\$58,000
Superannuation - Daphne	\$18,000
Direct Shares	\$4,000
Motor Vehicle	\$10,000
Home Contents (garage sale value)	\$5,000
TOTAL ASSESSABLE ASSETS	\$285,000

Age pension reduces by $(\$325,000 - \$286,500) = \$38,500$

Therefore, $\$38,500 / \$1000 \times \$1.50 = \57.75 p.f. reduction per fortnight

As this falls under the assets test limit for the maximum Age Pension (\$286,500), the maximum Age Pension is payable.

Therefore, **Age pension payable** = $\$1,296.80 - \57.75
 = **\$32,215.30 per annum**
 = **\$ 1,239.05 per fortnight**
 = **\$ 619.52 per week**

Age Pension Income Test

ASSESSABLE INCOME	Income
Burnie Rent	\$11,440
Direct Shares (\$4k @ 1.75%)	\$70
Superannuation (\$75,600 @ 1.75%)	\$1,323
Superannuation (\$400 @ 3.25%)	\$13
TOTAL ASSESSABLE INCOME	\$12,846

Total assessable income = $\$12,846 / 26 = \494.08 pf

The income test threshold in order to receive the full Age Pension is \$284 per fortnight

Therefore, $\$494.08 - \$284 = \$210.08 \times 0.5 = \105.04 reduction per fortnight

Therefore, **Age Pension payable** = $\$1,296.80 - \105.04
 = **\$31,115.76 per annum**
 = **\$ 1,191.76 per fortnight**
 = **\$ 598.38 per week**

Conclusion:

- Jack and Daphne, due to the Government Age Pension rules, you will be assessed on the means test that will pay you the lowest rate per fortnight, which in your situation is the Income test.
- **The amount you would receive under your current situation would be approximately \$31,115.76 per annum (\$1,191.76 per fortnight).**

SCENARIO 4

Age Pension Assets Test

ASSESSABLE ASSETS	Value
Superannuation - Jack	\$198,000
Superannuation - Daphne	\$108,000
Direct Shares	\$4,000
Motor Vehicle	\$10,000
Home Contents (garage sale value)	\$5,000
TOTAL ASSESSABLE ASSETS	\$325,000

Age pension reduces by $(\$325,000 - \$286,500) = \$38,500$

Therefore, $\$38,500 / \$1000 \times \$1.50 = \57.75 p.f. reduction per fortnight

Therefore, **Age pension payable** = $\$1,296.80 - \57.75
 = **\$32,215.30 per annum**
 = **\$ 1,239.05 per fortnight**
 = **\$ 619.52 per week**

Age Pension Income Test

ASSESSABLE INCOME	Income
Direct Shares (\$4k @ 1.75%)	\$70
Superannuation (\$75,600 @ 1.75%)	\$1,323
Superannuation (\$230,400 @ 3.25%)	\$7,488
TOTAL ASSESSABLE INCOME	\$8,881

Total assessable income = $\$8,881 / 26 = \341.57 pf

The income test threshold in order to receive the full Age Pension is \$284 per fortnight

Therefore, $\$341.57 - \$284 = \$57.57 \times 0.5 = \28.78 reduction per fortnight

Therefore, **Age Pension payable** = $\$1,296.80 - \28.78
 = **\$32,968.52 per annum**
 = **\$ 1,268.02 per fortnight**
 = **\$ 634.01 per week**

Conclusion:

- Jack and Daphne, due to the Government Age Pension rules, you will be assessed on the means test that will pay you the lowest rate per fortnight, which in your situation is the assets test.
- The amount you would receive under your current situation would be approximately **\$32,215.30 per annum (\$1,239.05 per fortnight)**.

ESTIMATED OVERALL ANNUAL INCOME FIGURES

Current Position (based on 2013/14 tax returns)

Age Pension	\$ 8,625
Burnie Rent	\$11,440
Business Income	<u>\$45,044</u>
TOTAL INCOME	\$65,109

Scenario 1

Age Pension	\$14,639
Burnie Rent	\$11,440
Business Income	<u>\$45,044</u>
TOTAL INCOME	\$71,123

Scenario 2

Age Pension	\$30,011
Burnie Rent	<u>\$11,440</u>
TOTAL INCOME	\$41,451

Scenario 3

Age Pension	\$31,116
Burnie Rent	<u>\$11,440</u>
TOTAL INCOME	\$42,556

Scenario 4

Age Pension	\$32,215
Super Income Stream	<u>\$ 5,000</u>
TOTAL INCOME	\$37,215

Appendix B – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2% is included on marginal tax rates;
- Throughout this plan, an inflation rate of 3% per annum has been used, and a default rate of return of 5% on share and managed fund investments. Projections are calculated in today's dollars;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- There is no tax on the earnings within pension products.
- No consideration has been made for Eligible Termination Payments, foreign sourced income or capital gains or losses, unless stated otherwise;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary. Estimated expenses and tax are also included;